CHAPTER TWENTY-ONE

THE IMPORTANCE OF BEING RATAN

Taking the Group Forward

When Ratan became chairman, Tata Sons, the group was virtually in the throes of an existential crisis. The *Financial Times* opined in 2007 that when Ratan had taken over in 1991, ‘few expected the group to survive the onslaught of liberalisation’. But he proved them wrong, and his accomplishments surprised even his worst critics. By the time he stepped down after over two decades as chairman, he had given the conglomerate a new form, structure, architecture and aggressiveness, building for it sinews to navigate the remaining decades of the new millennium with unprecedented confidence.

The impact of the changes he made was enormous. Raju Bhinge says frankly, ‘If it were any other leader, I shudder to think what would have happened to the group.’ Many Tata veterans expressed similar sentiments. Ratan’s era would be most remembered for the way he ‘repurposed the group’, says Bhaskar Bhat. ‘He adopted a group approach and gave it a new meaning and cohered the various companies through the process of business excellence.’

Commenting on how Ratan unified the group, Azim Premji says that he ‘was completely successful in forging a single Tata identity and group; this was one of his great achievements’. About how Ratan built his team, *The Wall Street Journal* said: ‘Just what Mr. Tata regards as possible has taken many aback. While Mr. Tata is revered at home for his humility and espousing of business ethics, even his fans are stunned by how quickly he has created a stable of Industry leaders’. *The Times* (London) wrote, ‘He [Ratan] shook up the group’ and put the ‘Tatas at the forefront of the Indian economic miracle’.